Please check the examination details below before entering your candidate information

Candidate surname	Other names

Pearson Edexcel
International GCSE

Centre Number	Candidate Number

Friday 10 May 2019

Morning (Time: 2 hours)	Paper Reference **4AC1/01R**

Accounting

Level 1/2
Paper 1: Introduction to Bookkeeping and Accounting

You do not need any other materials.

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided
  – *there may be more space than you need.*
- Calculators may be used.

Information

- The total mark for this paper is 100.
- The marks for **each** question are shown in brackets
  – *use this as a guide as to how much time to spend on each question.*

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over ▶

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SECTION A

Answer ALL questions in this section. Write your answers in the spaces provided.

Questions 1–10 must be answered with a cross in the box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

1 A business buys goods for cash. What are the entries in the books of the purchaser?

		Account to be debited	Account to be credited
☒	**A**	Cash	Purchases
☒	**B**	Cash	Supplier
☒	**C**	Purchases	Cash
☒	**D**	Supplier	Cash

(Total for Question 1 = 1 mark)

2 Which of the following is recorded on the credit side of a trade payables ledger control account?

☒ **A** Credit purchases

☒ **B** Discount received

☒ **C** Payments to trade payables

☒ **D** Purchases returns

(Total for Question 2 = 1 mark)

3 Where would the purchase of a motor vehicle on credit be recorded?

☒ **A** Cash book

☒ **B** Journal

☒ **C** Petty cash book

☒ **D** Purchases day book

(Total for Question 3 = 1 mark)

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4 In which book of original entry will credit notes received be recorded?

- ☒ **A** Purchases book
- ☒ **B** Purchases return book
- ☒ **C** Sales book
- ☒ **D** Sales returns book

(Total for Question 4 = 1 mark)

5 What is the main purpose of providing for depreciation on non-current assets?

- ☒ **A** To provide funds for the replacement of the asset
- ☒ **B** To show the market value of the asset
- ☒ **C** To show when the asset should be replaced
- ☒ **D** To spread the cost of the asset over its useful life

(Total for Question 5 = 1 mark)

6 A trader sells goods with a list price of $9 000 on credit. The trader offers his customers a trade discount of 20% and a cash discount of 5%.
What amount will be recorded in the trader's sales book?

- ☒ **A** $6 840
- ☒ **B** $7 200
- ☒ **C** $8 550
- ☒ **D** $9 000

(Total for Question 6 = 1 mark)

7 A cash book has a discounts column on the credit side. Where is the total of this column posted?

- ☒ **A** Credit discount allowed account
- ☒ **B** Credit discount received account
- ☒ **C** Debit discount allowed account
- ☒ **D** Debit discount received account

(Total for Question 7 = 1 mark)

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8 Which account will partnership drawings be debited to?

- ☒ **A** Appropriation
- ☒ **B** Bank
- ☒ **C** Capital
- ☒ **D** Current

(Total for Question 8 = 1 mark)

9 What are the entries to record interest on a partner's loan?

		Account to be debited	Account to be credited
☒	**A**	Appropriation	Current
☒	**B**	Current	Appropriation
☒	**C**	Current	Income statement
☒	**D**	Income statement	Current

(Total for Question 9 = 1 mark)

10 A business keeps a petty cash book with a float of $200.
During the month the total expenses paid from petty cash were $160.
What amount was required to restore the float?

- ☒ **A** $40
- ☒ **B** $160
- ☒ **C** $200
- ☒ **D** $360

(Total for Question 10 = 1 mark)

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11 Complete the document where indicated.

(i) ..... Note **PR Supplies** **12 High Street** **London**			
Baines 14 Stopes Road Birmingham B15		No. 111	
		Date 12 February 2019	
Description	**Quantity**	**Unit Cost $**	**Total Cost $**
Mobile phones	24	75	**(ii)** .....
Subtotal			**(iii)** .....
Trade discount 20%			**(iv)** .....
Total			**(v)** .....
Reason: Faulty goods			

(Total for Question 11 = 5 marks)

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12 On 1 April 2019 Shazia, a credit customer, owed Bert $240.

During the month of April 2019, the following transactions with Shazia took place.

April	Transaction
12	Sold goods, $486
23	Goods returned, $72
29	Received the balance owing at 1 April 2019

Prepare the account of Shazia in the books of Bert for the month ended 30 April 2019.
Balance the account on that date and bring the balance down on 1 May 2019.

Shazia Account

Date 2019	Details	$	Date 2019	Details	$

(Total for Question 12 = 5 marks)

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13 On 31 March 2019 Ehab sold machinery for $16 000.

The machinery had been purchased on 1 November 2016 for $24 000.

He depreciates machinery at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

Ehab's financial year end is 31 March.

Prepare the disposal account.

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 13 = 5 marks)

TOTAL FOR SECTION A = 25 MARKS

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SECTION B

Answer ALL questions in this section. Write your answers in the spaces provided.

14 On 30 April 2019 Sanit received his bank statement, which showed a debit balance of $600. On the same day his cash book showed a credit balance of $1 358.

After checking the cash book against the bank statement, he identified the following errors and omissions.

- Bank charges of $32 had not been entered in the cash book.
- A direct debit for $165 for insurance had not been entered in the cash book.
- A credit transfer for $410 from Kamil had been entered in error on the wrong side of the cash book.
- A cheque paid to a supplier for $315 had not yet been presented for payment.
- Money deposited in the bank, $180, was not on the bank statement.

(a) Prepare an updated cash book at 30 April 2019. Balance the cash book on that date and bring the balance down on 1 May 2019.

(5)

Cash Book (bank column)

Date 2019	Details	$	Date 2019	Details	$

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(b) Prepare a bank reconciliation statement at 30 April 2019.

(6)

Sanit

Bank reconciliation statement at 30 April 2019

(c) Define the terms:

(i) standing order

(2)

(ii) direct debit.

(2)

(Total for Question 14 = 15 marks)

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15 Yasin has prepared a trial balance at 30 April 2019 that did not balance. The totals were debit $41 970 and credit $42 550.

The following errors and omissions were discovered.

1. The total of the sales day book had been overcast by $200.
2. Motor repairs, $180, had been posted to the debit side of the motor vehicles account.
3. A payment of $450 to Raul, a credit supplier, had been entered correctly in the cash book but had not been posted to Raul's account.
4. Discounts received of $80 had been posted to the debit side of the discounts allowed account.
5. Cash sales, $540, had not been recorded.
6. A payment for rent $430 had been recorded correctly in the cash book but as $340 in the rent account.

(a) Complete the table.

(3)

Error	Type of error
2	
5	
6	

(b) Prepare the suspense account at 30 April 2019.

(6)

Suspense Account

Date	Details	$	Date	Details	$

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(c) Complete the table to indicate with a tick (✓) the effect the **correction** of each error would have on the profit for the year.

(6)

Error	Increase	Decrease	No effect
1			
2			
3			
4			
5			
6			

(Total for Question 15 = 15 marks)

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16 The following information has been extracted from the books of Hanif for the month ended 30 April 2019.

	$
Trade receivables ledger balances at 1 April 2019	17 460
Cash sales	15 450
Credit sales	84 200
Customer cheque dishonoured	315
Discount allowed	2 100
Irrecoverable debts	290
Payables ledger set off	475
Receipts from credit customers	79 640
Returns inwards	3 150

(a) Prepare a trade receivables ledger control account for the month ended 30 April 2019. Balance the account on that date and bring the balance down on 1 May 2019.

(10)

Trade Receivables Ledger Control Account

Date	Details	$	Date	Details	$

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(b) Evaluate why Hanif maintains a trade receivables ledger control account.

(5)

(Total for Question 16 = 15 marks)

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17 (a) Complete the corrected trial balance.

(9)

	Draft trial balance		Corrected trial balance	
Account	**Debit $**	**Credit $**	**Debit $**	**Credit $**
Bank overdraft	1 830			
Carriage inwards		710		
Carriage outwards	1 220			
Discount allowed		420		
Discount received		300		
Drawings		6 200		
Equity		16 600		
General expenses	5 950			
Inventory	5 350			
Irrecoverable debts		250		
Non-current assets – accumulated depreciation		5 900		
Non-current assets – cost	15 050			
Purchases	34 280			
Rent and rates	3 650			
Returns inwards		530		
Returns outwards		980		
Revenue		65 570		
Trade payables	3 510			
Trade receivables		2 180		
Wages	18 900			
Total				

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(b) Identify the accounting concept being applied in each of the following scenarios.

(2)

Scenario	Accounting concept
A computer purchased for personal use should be charged to drawings.	
The purchase of a new calculator for $40 should not be charged to non-current assets.	

(c) Complete the table by indicating with a tick (✓) in which section of the financial statements each cost would be shown.

(4)

Item	Expense	Income	Current asset	Current liability
Irrecoverable debts				
Provision for irrecoverable debts				
Provision for irrecoverable debts – decrease				
Provision for irrecoverable debts – increase				

(Total for Question 17 = 15 marks)

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18 (a) Define the terms:

(i) other payables

(2)

(ii) other receivables.

(2)

Waseem is preparing his financial statements for the year ended 31 May 2018.

On 5 June 2018 he received an invoice, $960, for advertising covering the period 1 March 2018 to 31 October 2018.

(b) Calculate the amount to be added to the advertising account for the year ended 31 May 2018.

(2)

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(c) Complete the table by indicating with a tick (✓) which transactions are revenue expenditure and which are capital expenditure.

(4)

Transaction	Revenue expenditure	Capital expenditure
Factory roof repairs		
Factory extension		
Machinery installation		
Machinery maintenance		

(d) Evaluate why it is important for a business to distinguish between revenue expenditure and capital expenditure.

(5)

(Total for Question 18 = 15 marks)

TOTAL FOR SECTION B = 75 MARKS
TOTAL FOR PAPER = 100 MARKS

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